

The Personal Entertainer

Would you buy a TV from your local computer hardware shop? The major computer companies are betting that you will. Microsoft has been pushing hard to break Windows out of the PC box, with Smart Phone editions, Pocket PC editions, and the much talked about Media Centre edition. Of the whole bunch, the Media Centre edition is most likely to come to a device near you. It is a version of Windows XP with software that makes finding and using digital media simple. It drives the Media Centre PCs that aim to take over the prime spot your TV currently occupies.

Digital technology pervades entertainment, and all of that digital content is accessible to a PC. A PC provides the most flexible way to control and manage content as well, so naturally it is increasingly the common touch point for that content. This is where PC vendors smell opportunity. As always, the changes are early to the US, and then flow out to the rest of us.

That the PC hardware industry has plummeted over the last couple of years is no secret. While Dell and HP command large shares, both have poor profit margins. High-value consumer electronics, on the other hand, is a growth area. Would you buy an HP digital camera? How about a Dell MP3 player? They both connect to a PC, so they could simply be accessories like a printer. Consumer electronics companies are already selling you these devices, and barring Apple, no PC manufacturer has managed the transition. Dell specialises in entering markets and winning primarily on price wars.

Coincidentally, that is the core strength of the Asian 'unknown' brand manufacturers. The technology for VCD and MP3 players is quite commoditised, with very little variation in the basics, so it may not be surprising that Chinese and Taiwanese exports dominate the entry-level markets everywhere. In India, these low-cost players simply own the VCD and MP3 player markets. Asian manufacturers make the devices that are branded by the MNCs and sold worldwide. Next up, are low-cost digital cameras from Taiwan that will knock the bottom off digital camera prices.

Either way, look forward to a flood of affordable digital media and entertainment tools headed for your PC.



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